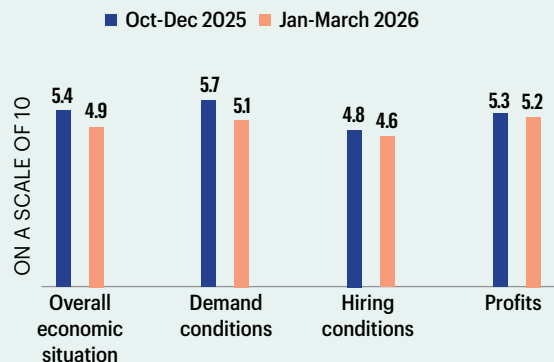


DEMAND CONDITIONS WORSEN, US TARIFFS LOOM LARGE



risk to the economy largely stems from the materialisation of the trade deal with the US.

The BCI also points to this mood of uncertainty. Respondents rated overall economic prospects facing their businesses in the January-March 2026 quarter at just 4.9 on a scale of 10, much lower compared to the third quarter. They were also not very upbeat on demand and hiring conditions for the quarter.

On whether they expect continuation of the economic growth momentum in FY27, just 16% expect growth to remain robust. A total of 38% said it would be slower due to external challenges while 46% said they were uncertain about the economic outlook.

The impact of the US tariffs was also fully felt in the third quarter of the fiscal. As many as 54% of the

respondents said it led to lower orders while 13% said it led them to diversify exports. Only 27% said the tariffs did not impact them. Surprisingly, 6% reported higher orders.

Higher tariffs impact nearly 55% of India's exports. Merchandise exports from India grew just 1.8% in December 2025 on a year-on-year basis to \$38.51 billion.

The GST cuts, however, helped sales in the third quarter of the fiscal for 55% of the respondents, although just 38% expect consumer demand to remain strong going forward due to this massive rationalisation of the indirect tax regime.

Nayar remains upbeat about consumption demand. "Overall, the outlook for rural demand appears upbeat in the near term, given robust *kharif* output and healthy trends in *rabi* sowing. Besides, the combination of GST rate rejig, sizeable income tax relief, 125 bps policy rate cuts leading to lower borrowing costs, and moderation in food inflation is expected to augur well for urban consumption," she says.

The GST cuts that led to record sales in the festive season, however, did not result in more jobs; only 16% respondents said they hired more workers to meet festive season demand.

The good news for consumers is that with inflation remaining much below the Reserve Bank of India's tolerance zone, only 32% of the companies surveyed are planning a price hike in the new fiscal year, while 38% said they did not have any such plan.

The BCI survey also highlighted the problem of air pollution, which is now hampering productivity for companies. To a pointed question whether recurrent air pollution has impacted business operations, 51% responded in the affirmative, noting that it has led to an increase in employees working from home and loss of productivity.

Significantly, the Labour Codes seem to be a welcome reform for companies despite concerns on wage and employee benefit payouts. As many as 37% of respondents said the most important impact of the Codes would be a reduction in the compliance burden while 22% said they would help in easier hiring and retrenchment of workers. Only 18% said the most important aspect of the Codes would be a higher wage bill.

The expectation now is that the government would continue its reform agenda to offset the impact of the tariffs. India Inc could well gain much needed confidence from these policy moves. Here's to new tidings in the new year! **BT**

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